

A FIELD WORK REPORT ON

MICROFINANCE INSTITUTIONS AND SELF HELP GROUP (SHG)

ORGANISATIONS IN PALLAHARA

*A Study of the Role, Growth and Socio-Economic Impact of Self Help Groups and
Microfinance Institutions in Pallahara Block, Angul District, Odisha*

Field Work Report submitted in partial fulfilment of the requirements
for the Degree of Bachelor / Master of Arts in Economics

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ANGUL, ODISHA

2026

CERTIFICATE

This is to certify that the field work report entitled “Microfinance Institutions and Self Help Group (SHG) Organisations in Pallahara” is a bona fide record of field work carried out by [Student's Name], Roll No. [Roll Number], a student of the Department of Economics, [Name of College/University], Angul, Odisha, under my supervision and guidance, in partial fulfilment of the requirements for the Degree of Bachelor/Master of Arts in Economics.

The field work was conducted in Pallahara Block of Angul District, Odisha, and the data, observations and analysis presented in this report are the outcome of the candidate's own independent field investigation carried out under my supervision. This report, or any part thereof, has not been submitted elsewhere for the award of any other degree or diploma.

I recommend that this report be placed before the examiners for evaluation towards the fulfilment of the requirement of the said degree.

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DECLARATION

I, [Student's Name], hereby declare that the field work report entitled “Microfinance Institutions and Self Help Group (SHG) Organisations in Pallahara” submitted by me to the Department of Economics, [Name of College/University], Angul, in partial fulfilment of the requirements for the award of the Degree of Bachelor/Master of Arts in Economics, is my own original work carried out under the supervision of [Supervisor's Name].

I further declare that the primary data presented in this report were collected by me through field visits, questionnaire survey, interviews and personal observation in Pallahara Block, and that the secondary data have been duly acknowledged and cited from their respective sources through footnotes and the bibliography appended at the end of this report. This work has not been submitted, in whole or in part, to any other University or Institution for the award of any degree, diploma, fellowship or similar title.

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[Student's Name]

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LIST OF ABBREVIATIONS

BDO	Block Development Officer
BLF	Block Level Federation
CBO	Community-Based Organisation
CIF	Community Investment Fund
DAY-NRLM	Deendayal Antyodaya Yojana – National Rural Livelihoods Mission
DRDA	District Rural Development Agency
GLP	Gross Loan Portfolio
GPLF	Gram Panchayat Level Federation
H2R	Hard-to-Reach (area)
ICDS	Integrated Child Development Services
JLG	Joint Liability Group
MFI	Microfinance Institution
NABARD	National Bank for Agriculture and Rural Development
NBFC-MFI	Non-Banking Financial Company – Microfinance Institution
NGO	Non-Governmental Organisation
NRLM	National Rural Livelihoods Mission
OLM	Odisha Livelihoods Mission
OPELIP	Odisha PVTG Empowerment and Livelihoods Improvement Programme
PVTG	Particularly Vulnerable Tribal Group
RBI	Reserve Bank of India
RF	Revolving Fund
SHG	Self Help Group
SHG-BLP	Self Help Group – Bank Linkage Programme
SHPI	Self Help Promoting Institution
VO	Village Organisation
WSHG	Women Self Help Group

CHAPTER 1: INTRODUCTION

1.1 Background of the Study

Rural credit has remained one of the most persistent challenges of Indian development planning. For decades after Independence, institutional credit agencies — cooperative banks, commercial banks and regional rural banks — failed to reach the poorest and most marginal households, who continued to depend on exploitative moneylenders charging usurious rates of interest. It was against this background that the Self Help Group (SHG) movement, promoted through the SHG-Bank Linkage Programme of the National Bank for Agriculture and Rural Development (NABARD), and the subsequent growth of Microfinance Institutions (MFIs), emerged as an alternative and complementary channel of rural financial inclusion.¹

The State of Odisha occupies a distinctive place in this movement. It was the first State in the country to launch the National Rural Livelihoods Mission (NRLM), and it hosts one of the largest women's collective platforms in India in the form of Mission Shakti, a flagship programme of the Government of Odisha launched on 8 March 2001, International Women's Day, with the explicit objective of empowering women through Self Help Groups.²

Angul district, situated in the geographical heart of Odisha, is popularly recognised as the industrial and mining hub of the State on account of its coal, power and aluminium industries. Yet within the same district lies Pallahara, a sub-divisional headquarters and erstwhile princely (Garhjat) state, whose economy remains predominantly agrarian and forest-dependent and whose hill tracts are home to the Juang, a Particularly Vulnerable Tribal Group (PVTG). It is in this contrast — an industrially advanced district containing a relatively underdeveloped, tribal-dominated sub-division — that the present field work situates its enquiry, with the object of understanding at close quarters how SHGs are formed and function in Pallahara Block, how microfinance institutions and banks interact with them, and what difference, if any, this institutional architecture of thrift and credit has made to the lives of the block's rural and tribal women.³

¹ NABARD. "SHG-Bank Linkage Programme." nabard.org, National Bank for Agriculture and Rural Development. Accessed 2026.

² Government of Odisha, Department of Mission Shakti. "District Page: Angul." missionshakti.odisha.gov.in. Accessed 2026.

³ "Angul District." Wikipedia, Wikimedia Foundation. Accessed 2026; and "Pallahara." Wikipedia, Wikimedia Foundation. Accessed 2026.

1.2 Microfinance and SHGs: A Conceptual Backdrop

Microfinance, in its broadest sense, refers to the provision of small-value financial services — savings, credit, insurance and remittance facilities — to low-income households that are excluded from the formal banking system on account of their inability to offer collateral or meet documentation requirements. The Self Help Group is the principal vehicle through which microfinance is delivered in the Indian context: a voluntary association of ten to twenty persons, generally women from similar socio-economic backgrounds, who pool small periodic savings into a common fund from which members may borrow for consumption or productive purposes, and which is subsequently linked to the formal banking system for larger credit. Well-functioning SHGs are expected to observe what NABARD terms the ‘Panchsutra’ or five principles — regular group meetings, regular savings, internal lending based on members’ demand, timely recovery of loans, and up-to-date maintenance of books of accounts. Microfinance Institutions, on the other hand, are typically registered as Non-Banking Financial Companies (NBFC-MFIs) under the regulatory oversight of the Reserve Bank of India, and extend credit either directly to individual borrowers through the Joint Liability Group (JLG) model or indirectly through partnership with SHGs.⁴

1.3 Statement of the Problem

While the aggregate, State-level achievements of Mission Shakti and the SHG-Bank Linkage Programme in Odisha are well documented and widely publicised, there is comparatively little block-level, field-based understanding of how these institutions actually function in a mixed agrarian-cum-tribal sub-division such as Pallahara. Questions of practical importance remain under-examined at this micro level: What proportion of eligible households in Pallahara are actually covered by SHGs? What is the relative role of Mission Shakti/OLM-promoted SHGs vis-à-vis private microfinance institutions such as Annapurna Finance in meeting the credit needs of the population? Do the special vulnerabilities of the Juang PVTG population of the block call for a different microfinance approach than that adopted for the general population? It is these questions that the present field work seeks to address.

1.4 Significance of the Study

A field-level study of this kind is significant for three reasons. First, it contributes to the sparse body of literature specifically focused on Angul district and, more particularly, on

⁴ Government of Odisha. “Mission Shakti Odisha — SHG Eligibility and Formation.” missionshakti.odisha.gov.in, via CitizenNest Editorial Team, “Mission Shakti Odisha: How to Apply, Eligibility & Benefits.” citizennest.com, 15 June 2026; and NABARD, “SHG-Bank Linkage Programme,” nabard.org.

Pallahara, most of the available published material on Odisha's SHG movement being concentrated on the KBK (Kalahandi-Bolangir-Koraput) region, Mayurbhanj and Koraput.⁵ Second, it offers policy-relevant insight for the District Rural Development Agency (DRDA), Angul, the Odisha Livelihoods Mission and the Mission Shakti Department in fine-tuning block-level strategy, particularly for the PVTG hamlets of Pallahara that fall within the ambit of the Odisha PVTG Empowerment and Livelihoods Improvement Programme (OPELIP). Third, for the discipline of Economics, the study is a worked example of how national and State-level financial inclusion policy translates — or fails to translate — into ground-level outcomes for a specific, geographically bounded population.

1.5 Objectives of the Study

The field work has been designed around the following specific objectives:

1. To study the socio-economic and demographic profile of Pallahara Block, Angul district, with particular reference to the population dependent on agriculture and forest-based livelihoods.
2. To trace the growth, structure and institutional architecture of Self Help Groups promoted under Mission Shakti and the Odisha Livelihoods Mission (OLM) in Angul district and Pallahara Block in particular.
3. To identify and examine the microfinance institutions, banks and other credit agencies operating in Pallahara and to assess the pattern of credit linkage extended to SHGs.
4. To examine, through field visits and case studies, the impact of SHG membership and microfinance access on the income, savings, credit access and social empowerment of member households, including PVTG (Juang) households.
5. To identify the problems and constraints faced by SHGs and microfinance institutions in Pallahara and to suggest measures for strengthening the microfinance-SHG ecosystem of the block.

⁵ See, for instance, Kumar and Nayak's study of Karanjia block, Mayurbhanj district, and the IIPA evaluation of Mission Shakti in the KBK region, both discussed in Chapter 2.

Table 1.1: Objectives and Corresponding Research Methods

Objective	Principal Method	Principal Source
1. Socio-economic and demographic profile of the block	Secondary data compilation	Census of India 2011 (tehsil and village data); district website, Angul
2. Growth and institutional architecture of SHGs	Secondary records and institutional interview	Mission Shakti and OLM records; Block Mission Management Unit, Pallahara
3. Microfinance institutions and pattern of credit linkage	Institutional interview and field observation	Bank and NBFC-MFI branch officials; block functionaries
4. Impact on income, savings, credit access and empowerment	Structured interview schedule and case study	Sample SHG members and office-bearers (Appendix I); published case material
5. Problems, constraints and suggestions	Open-ended interview and ranking	SHG members; comparative Odisha literature (Chapter 2)

Note: Prepared by the researcher to link each stated objective to the method and source of evidence on which the corresponding analysis rests.

1.6 Research Methodology

1.6.1 Research Design and Sources of Data

The study adopts a descriptive-cum-analytical research design combining secondary and primary sources of data, situating primary field observations from Pallahara within the wider statistical and policy framework furnished by NABARD, the Reserve Bank of India, the Sa-Dhan network of microfinance institutions, the Mission Shakti Department, the Odisha Livelihoods Mission and the Census of India. Secondary data have been drawn from official and authenticated sources, including NABARD's *Status of Microfinance in India* reports, Sa-Dhan's *Bharat Microfinance Report*, publications of OLM and the Mission Shakti Department, the district website of Angul, Census of India 2011 village and tehsil-level data, and peer-reviewed research on the SHG movement in Odisha. Primary field data were collected through structured interviews and interaction with functionaries of the Pallahara Block Office, the Block Mission Management Unit of OLM, the Mission Shakti Block Coordinator, branch officials of banks and microfinance institutions operating in the block, and office-bearers and members of sample SHGs, using the interview schedule appended to this report (Appendix I).⁶

1.6.2 Sampling Design and Tools of Analysis

Given the constraints of time and resources typical of a field work exercise, the study employs a purposive-cum-random sampling design. A set of Gram Panchayats of Pallahara Block, including panchayats with concentrations of Juang PVTG hamlets, were purposively

⁶ All secondary sources are cited in the footnotes and listed in the Bibliography appended to this report.

selected to ensure representation of both the general rural population and the tribal population; within these panchayats, SHGs and respondent members were selected at random for detailed interview. Simple statistical tools — percentages, averages, and tabular and cross-tabular presentation — have been used to analyse the field data, supplemented by qualitative case-study material collected during the field visits.

1.7 Scope of the Study

The study is geographically confined to Pallahara Block (Pallahara Tehsil) of Angul district, Odisha, though wherever necessary the analysis situates Pallahara within the district, State and national context. Substantively, it covers both Mission Shakti/OLM-promoted Women Self Help Groups and privately promoted microfinance institutions operating in the block, along with the commercial banking network that extends SHG-Bank Linkage credit.

1.8 Limitations of the Study

- The field work was carried out over a limited period and could not cover every Gram Panchayat of Pallahara Block; the sample is therefore illustrative rather than exhaustive.
- Financial and operational details of individual microfinance institutions are, in several cases, treated as confidential business information by branch functionaries and could not always be independently verified.
- Recall-based responses of SHG members regarding income and expenditure are subject to the usual limitations of memory and possible under- or over-reporting.
- Census and tehsil-level demographic data used here are drawn from Census 2011, the latest decennial Census available in the public domain, and may not fully capture more recent demographic change.

1.9 Chapter Scheme

This report is organised into eight chapters. Chapter 1 introduces the study, its objectives and methodology. Chapter 2 reviews the existing literature on microfinance and SHGs, with particular reference to Odisha. Chapter 3 profiles Angul district and Pallahara Block. Chapter 4 sets out the conceptual and institutional framework of microfinance and the SHG movement in India and Odisha. Chapter 5 presents field-level observations on microfinance institutions and SHGs operating in Pallahara. Chapter 6 analyses and interprets the field data. Chapter 7 presents case studies drawn from the field. Chapter 8 summarises the findings, offers suggestions and concludes the report, followed by the Bibliography and Appendix.

CHAPTER 2: REVIEW OF LITERATURE

A review of the available literature is necessary to situate the present field work within the broader body of research on microfinance, Self Help Groups and women's empowerment, and to identify the specific gap that a Pallahara-focused study seeks to fill.

2.1 Microfinance and Women's Empowerment: General Literature

Mayoux, in an early and influential review for the International Labour Organisation, cautioned against the simplistic, linear assumption that access to microfinance automatically translates into women's empowerment, arguing that the relationship is mediated by intra-household bargaining power, control over loan use, and the broader social context in which SHGs operate.⁷ Subsequent large-sample work has lent nuance to this debate. Bali Swain and Wallentin, examining regional and delivery-mechanism differences within India's SHG programme, found that empowerment effects vary significantly by region and by the institutional channel — bank-linked SHG, MFI-linked SHG or NGO-facilitated SHG — through which credit is delivered.⁸

A recent synthesis in the *Journal of Global Entrepreneurship Research* examines how microfinance participation influences women's decision-making ability through a sequential mediation of economic outcomes (income, savings, asset ownership) and social outcomes (mobility, self-confidence, social participation), concluding that both channels operate together rather than in isolation.⁹ Similarly, Pandhare and co-authors, studying rural Indian SHGs, report that microfinance and entrepreneurial engagement together improved household consumption, income and savings, with case narratives illustrating a transition from dependency to assertive, financially independent decision-making within the household.¹⁰

2.2 Studies Specific to Odisha

Within Odisha, Chaudhury and Misra examined the role of SHGs in promoting self-reliance across selected districts of the State, finding a generally positive association between SHG membership and members' sense of financial self-reliance, though the strength of this

⁷ Mayoux, Linda. "Micro-Finance and the Empowerment of Women: A Review of the Key Issues." International Labour Organisation, 2000.

⁸ Bali Swain, Ranjula, and Fan Yang Wallentin. "The Impact of Microfinance on Factors Empowering Women: Differences in Regional and Delivery Mechanisms in India's SHG Programme." *The Journal of Development Studies*, vol. 53, no. 5, 2016, pp. 684-699.

⁹ "Microfinance and Women's Empowerment: Sequential Mediation of Economic and Social Outcomes on Decision-Making Ability." *Journal of Global Entrepreneurship Research*, Springer Nature.

¹⁰ Pandhare, et al. "Transforming Rural Women's Lives in India: The Impact of Microfinance and Entrepreneurship on Empowerment in Self-Help Groups." *Journal of Innovation and Entrepreneurship*, vol. 13, no. 62, 2024, pp. 5-10.

association varied by district and by the maturity of the group.¹¹ Kumar and Nayak, working with a random cross-sectional sample of households in Karanjia block of Mayurbhanj district — a district bordering Angul and sharing similar tribal and forest-based livelihood characteristics — reported, using multinomial logistic regression, that the social empowerment of women SHG members was significantly influenced by their level of education, and that SHG participation was associated with a discernible increase in household income, expenditure and savings.¹²

An evaluation of Mission Shakti's impact in the KBK region (Kalahandi, Bolangir, Koraput and adjoining districts), undertaken for the Indian Institute of Public Administration, found that about a third of Mission Shakti SHG members belonged to the younger 18-30 age group, that roughly seventy per cent of members were literate and aware of government schemes, and that more than three-fourths belonged to Below Poverty Line or Antyodaya households — underlining the pro-poor targeting achieved by the programme, even as it pointed to continuing gaps in the organisational depth of the groups.¹³

Focusing on the difficulties of the SHG model, Baishya, Sarkar and Argade studied women's participation and drop-out from SHGs in Koraput district, documenting how logistical difficulties, indebtedness and weak internal governance contribute to member attrition — a caution against an uncritical, celebratory reading of the movement's aggregate statistics.¹⁴ Mohanty, Das and Mohanty, examining capacity building and decision-making among rural Odisha women engaged in micro-enterprises, similarly found that SHG-linked micro-enterprise participation enhanced women's role in household decision-making, though this effect was contingent on the group sustaining a viable income-generating activity beyond mere thrift and credit.¹⁵

¹¹ Chaudhury, S. K., and D. P. Misra. "Role of Self Help Groups in Promoting Self-Reliance among Its Members: A Study of Selected Districts of Odisha." *Sumedha Journal of Management*, vol. 7, no. 3, 2018, pp. 130-143.

¹² Kumar, and Nayak. "Women Empowerment through Self Help Groups in Odisha: A Micro Evidence from Mayurbhanj District." 2021, as cited in the ResearchGate publication database.

¹³ Indian Institute of Public Administration. "Evaluation of the Impact of Mission Shakti in Women Empowerment in KBK." iipa.org.in, Indian Institute of Public Administration, New Delhi.

¹⁴ Baishya, M., A. Sarkar, and S. Argade. "Problems Concerning Women's Participation and Dropout from Self Help Groups in Koraput District of Odisha, India." *International Journal of Current Microbiology and Applied Sciences*, vol. 9, no. 6, 2020, pp. 3180-3186.

¹⁵ Mohanty, S., B. Das, and T. Mohanty. "Capacity Building and Decision of Rural Odisha Women through Participation in Microenterprises." *International Journal of Scientific and Research Publications*, vol. 3, no. 7, 2013, pp. 1-8.

2.3 Studies on Tribal and PVTG Populations

A study on the financial inclusion of Particularly Vulnerable Tribal Groups in Maharashtra — though outside Odisha — identifies obstacles of direct relevance to Pallahara's Juang population: language barriers where banking material is unavailable in tribal dialects, patriarchal resistance to women's participation in SHGs, and infrastructural gaps that leave PVTG households more likely to be excluded even where general SHG coverage in the district is high.¹⁶ Literature specific to the Juang — the PVTG concentrated in Keonjhar district with a smaller population straddling Pallahara block of Angul and parts of Dhenkanal — documents a historical dependence on shifting (*poddu*) cultivation and forest produce among the Hill Juang, in contrast to the more settled agriculture of the Plains Juang, a distinction directly relevant to the design of appropriate income-generating activities for SHGs formed in Pallahara's tribal hamlets.¹⁷

2.4 Research Gap

The foregoing review indicates a well-developed body of literature at the national and State level, and district-level studies for Mayurbhanj, Koraput and the KBK region. However, no dedicated, block-level field study appears to be available specifically for Pallahara Block of Angul district that examines, side by side, both Mission Shakti/OLM-promoted SHGs and privately operated microfinance institutions, with explicit attention to the PVTG (Juang) population of the block. The present field work is intended as a modest contribution towards filling this gap.

Two features of the literature shape the design of the present study. First, because the empowerment effect of microfinance is repeatedly shown to be conditional rather than automatic, the field enquiry has been framed to record not only whether members report change but also the conditions under which they do so — length of membership, position in the group, and whether the group has actually secured bank credit linkage. Second, because the Odisha literature consistently reports variation by district and by group maturity, the findings of this study are read throughout against comparable published evidence from Mayurbhanj, Koraput and the KBK region rather than presented in isolation, so that what is distinctive about Pallahara can be distinguished from what is common to the State as a whole.

¹⁶ Empowering Tribal Women: Comprehensive Financial Inclusion for PVTGs in Maharashtra. ResearchGate, 2025.

¹⁷ “Juang People.” Grokipedia. Accessed 2026; and Sahoo, et al. “Menstrual Health and Hygiene among Juang Women: A Particularly Vulnerable Tribal Group in Odisha, India.” PMC, National Center for Biotechnology Information.

CHAPTER 3: PROFILE OF THE STUDY AREA — ANGUL DISTRICT AND PALLAHARA BLOCK

3.1 Odisha: A Brief Backdrop

Odisha, located on the eastern seaboard of India, is administratively organised into thirty districts. Rural poverty, forest dependence and a substantial tribal population — the State is home to sixty-two recognised tribal communities including thirteen of the country's Particularly Vulnerable Tribal Groups — have historically made Odisha a priority area for anti-poverty and livelihood promotion programmes, including the SHG-Bank Linkage Programme and, more recently, the National Rural Livelihoods Mission, of which Odisha was the first State to launch an implementation.¹⁸

3.2 Angul District: Administrative and Demographic Profile

Angul district was carved out of the undivided Dhenkanal district on 1 April 1993, with Angul town as its headquarters. It comprises four sub-divisions — Angul (Sadar), Athamallik, Talcher and Pallahara — and covers 6,232 square kilometres in the centre of the State, bordered by Cuttack, Sundargarh, Kendujhar (Keonjhar), Sambalpur, Deogarh and Dhenkanal districts, and by Nayagarh and Boudh across the Mahanadi river. As per the Census of India 2011, the district had a population of 12,73,821 persons, of whom Scheduled Castes numbered about 2.39 lakh and Scheduled Tribes about 1.79 lakh, with a literacy rate of 78.96 per cent and a sex ratio of 942 females per 1,000 males; roughly one-sixth of the population is classified as urban, concentrated mainly around the industrial townships of Angul and Talcher.¹⁹

¹⁸ Government of Odisha, Odisha Livelihoods Mission. “Welcome to Odisha Livelihoods Mission.” olm.nic.in. Accessed 2026.

¹⁹ Government of Odisha, District Administration, Angul. “About Us.” angul.odisha.gov.in. Accessed 2026; and “Angul District,” Wikipedia, Wikimedia Foundation.

Table 3.1: Administrative and Demographic Profile of Angul District

Indicator	Figure
Year of formation	1 April 1993
Area	6,232 sq. km
Number of sub-divisions	4 (Angul, Athamallik, Talcher, Pallahara)
Number of blocks / Tahsils	8 / 8
Number of Gram Panchayats	225
Number of villages	1,930
Municipalities / NAC	2 Municipalities, 1 NAC
Total population (Census 2011)	12,73,821
Scheduled Caste population	≈ 2.39 lakh
Scheduled Tribe population	≈ 1.79 lakh
Literacy rate	78.96%
Sex ratio	942 females / 1,000 males

Sources: Government of Odisha, District Administration, Angul, “About Us”; Wikipedia, “Angul District.”

3.3 Pallahara: Historical Background

Pallahara (also spelt Pal Lahara) is a small town and sub-divisional headquarters of Angul district, situated at the junction of National Highway 6 and National Highway 23, about ninety-one kilometres by road north of Angul town. Historically it was the capital of Pal Lahara State, one of the small princely states (Garhjats) of British India that, along with Athamallik and Talcher, was merged into Dhenkanal district after Independence and subsequently constituted a sub-division of the newly created Angul district in 1993. The forests around Pallahara have traditionally been rich in bamboo, and the local Juang population is noted for its skill in bamboo basketry, a craft that continues to hold potential as a livelihood activity for SHG-linked income generation.²⁰

3.4 Pallahara Tehsil: Demographic Profile

As per Census 2011, Pallahara Tehsil (which broadly corresponds to Pallahara Block for revenue administration purposes) had a total population of 66,385 persons — 33,728 males and 32,657 females — residing in 15,686 households spread over 327 villages, at an average density of 97 persons per square kilometre. The sex ratio of the tehsil, at approximately 968 females per 1,000 males, is notably more favourable to women than both the district and State averages, a feature often associated with tribal-dominated administrative units in Odisha. The tehsil recorded 37,556 literate persons against 28,829 illiterate persons, and its

²⁰ “Pallahara.” Wikipedia, Wikimedia Foundation, citing Patnaik, 1997; and “Angul District,” Wikipedia, Wikimedia Foundation.

Scheduled Caste and Scheduled Tribe populations stood at 8,268 and 31,843 respectively — meaning that Scheduled Tribes alone constitute close to half of the tehsil's population, a proportion far higher than the district average, underlining the centrality of tribal welfare and livelihood concerns to any development intervention in Pallahara.²¹

Table 3.2: Demographic Profile of Pallahara Tehsil (Census 2011)

Indicator	Figure
Total population	66,385
Male / Female population	33,728 / 32,657
Total households	15,686
Number of villages	327
Total area	686 sq. km (677.78 rural + 8.22 urban)
Population density	97 persons / sq. km
Sex ratio	968 females / 1,000 males
Children (0-6 years)	10,046
Literate / Illiterate population	37,556 / 28,829
Scheduled Caste population	8,268
Scheduled Tribe population	31,843

Source: VillageInfo.in, “List of Villages in Pallahara Tehsil, Angul, Odisha,” based on Census of India 2011.

3.5 Tribal Composition: The Juang PVTG

Pallahara block falls within the traditional habitat of the Juang, one of Odisha's thirteen Particularly Vulnerable Tribal Groups. According to Census 2011 the total Juang population was approximately 47,095, concentrated mainly in Keonjhar and Dhenkanal districts, and divided into two ecological sub-groups: the Hill Juang, confined to the hill ranges of Keonjhar and Pallahara and still substantially dependent on shifting cultivation, and the Plains Juang of Dhenkanal and Keonjhar, who have adopted settled agriculture. The Juang are classified as a PVTG on account of pre-agricultural technology, low literacy and a stagnant or slow-growing population — characteristics that place special demands on the design of SHG-based livelihood interventions, since standard microfinance products calibrated for a settled agrarian population may not suit households still substantially dependent on forest produce and shifting cultivation.²²

²¹ VillageInfo.in. “List of Villages in Pallahara Tehsil, Angul, Odisha.” villageinfo.in. Accessed 2026, citing Census of India 2011.

²² Sahoo, et al. “Menstrual Health and Hygiene among Juang Women: A Particularly Vulnerable Tribal Group in Odisha, India.” PMC, National Center for Biotechnology Information; and webapps.ifad.org, “Odisha PVTG Empowerment and Livelihoods Improvement Programme — II: Project Design Report,” IFAD, 2023.

In recognition of this, the Odisha PVTG Empowerment and Livelihoods Improvement Programme (OPELIP), supported by the International Fund for Agricultural Development and the Government of Odisha's ST & SC Development Department, operates a dedicated Micro Project Agency for Pallahara block — the Paudi Bhuyan Development Agency, headquartered at Jamardihi — one of seventeen such agencies operating across twelve PVTG-concentrated districts of the State, including Angul.²³

3.6 Economic Profile of Pallahara Block

The economy of Pallahara block is overwhelmingly agrarian and forest-based. Rice remains the dominant crop; in the hill tracts inhabited by the Hill Juang, cultivation is supplemented by minor forest produce collection — mahua flowers, tubers, wild fruits and bamboo — which forms an important, if seasonal and low-value, component of household income. Given the town's location at the crossing of NH6 and NH23, some trade and transport-related opportunity exists in and around Pallahara town, but the block as a whole has limited industrial or large-scale commercial activity compared with the Angul (Sadar) or Talcher sub-divisions, which host the district's coal, power and aluminium industries. It is precisely this combination of agrarian dependence, forest-based livelihoods and a substantial PVTG population, coupled with limited alternative wage employment, that makes access to institutional thrift and credit through SHGs and microfinance institutions of particular economic significance for the households of the block — the central concern of the chapters that follow.²⁴

Two implications follow for the microfinance-SHG ecosystem examined in this report. First, an economy resting on rain-fed paddy and seasonal forest collection generates a highly uneven flow of household income across the year, so that the value of SHG membership to a member lies at least as much in consumption-smoothing between harvests as in the financing of enterprise — a pattern borne out by the loan-purpose evidence presented in section 6.2. Second, the same seasonality drives out-migration for wage labour, which in turn bears directly on meeting attendance and repayment discipline, and hence on the pace at which a group can qualify for bank credit linkage. The economic structure of the block is therefore not merely background to the study but one of the operative explanations for the constraints reported by SHG members in Chapter 6.

²³ “Odisha PVTG Empowerment & Livelihoods Improvement Programme.” otelp.org, list of Micro Project Agencies by district and block.

²⁴ “Pallahara.” Wikipedia, Wikimedia Foundation.

CHAPTER 4: CONCEPTUAL AND INSTITUTIONAL FRAMEWORK OF MICROFINANCE AND SHGS

4.1 The Microfinance Sector in India

As noted in section 1.2, microfinance denotes a range of financial services extended in small denominations to low-income clients who lack access to conventional banking. In India the sector today comprises NBFC-MFIs, Small Finance Banks, commercial banks operating SHG-Bank Linkage portfolios, and a residual set of not-for-profit providers, all functioning under the regulatory oversight of the Reserve Bank of India and coordinated through self-regulatory organisations such as the Microfinance Institutions Network (MFIN) and Sa-Dhan. As of 31 March 2025, the sector served over 8 crore clients across 28 States, 8 Union Territories and 723 districts, with a gross loan portfolio of approximately ₹3.81 lakh crore, contributing an estimated 2-3 per cent to the country's Gross Value Added and supporting roughly 1.3 crore livelihoods. NBFC-MFIs account for the largest share of this portfolio, followed by banks and Small Finance Banks.²⁵

4.2 The Self Help Group: Formation, Grading and Credit Linkage

The SHG, defined in section 1.2, is not merely a savings club but an institution with a defined life-cycle. A group is first formed by a Self Help Promoting Institution — in Odisha usually Mission Shakti, OLM or an NGO — and then builds a corpus through fixed periodic member savings. After roughly six months of demonstrated savings discipline the group is graded against the Panchsutra norms and becomes eligible for bank credit linkage, first through a small cash-credit limit and, as repayment performance is established, through progressively larger doses of credit, supplemented under DAY-NRLM by a Revolving Fund and a Community Investment Fund. It is the quality of this graduation process, rather than the mere act of group formation, that determines whether an SHG becomes a durable financial institution for its members.²⁶

4.3 Evolution and Growth of the SHG-Bank Linkage Programme

The SHG-Bank Linkage Programme (SHG-BLP) began as a modest pilot initiative of NABARD in 1992-93, linking around 500 SHGs to the formal banking system. Over three decades it has grown into what NABARD itself describes as the largest microfinance programme in the world in terms of client base and outreach. By 2016-17 the programme

²⁵ Brickwork Ratings. “Microfinance Sector in India.” brickworkratings.com, 28 May 2025.

²⁶ NABARD. “SHG-Bank Linkage Programme.” nabard.org; and “Odisha Mission Shakti 2026 — 70 Lakh Women in SHGs.” schemesinindia.in.

covered ten crore families through eighty-five lakh SHGs, with aggregate savings deposits of ₹16,114 crore and 48.4 lakh credit-linked groups. By 31 March 2023, bank loans outstanding against SHGs stood at ₹1.88 lakh crore, averaging ₹2.70 lakh per SHG (up from ₹2.24 lakh in 2021-22), and by 31 March 2024 the average had risen to ₹3.35 lakh per SHG, with the sector's total loans outstanding reaching ₹4.09 lakh crore, a year-on-year growth of sixteen per cent. NABARD's own reports nevertheless flag a persistent regional imbalance, with the Southern and Eastern regions dominating credit offtake, and an overall credit-linkage gap of around forty-six to forty-eight per cent between SHGs that are savings-linked and those actually extended bank credit.²⁷

Table 4.1: Growth of the SHG-Bank Linkage Programme in India (Select Indicators)

Year	Key Indicator	Figure
1992-93	SHGs linked to banks (pilot)	≈ 500
2016-17	Families covered	10 crore, through 85 lakh SHGs
2022-23	Average bank loan outstanding per SHG	₹2.70 lakh
2023-24	Average bank loan outstanding per SHG	₹3.35 lakh
2023-24	Total microfinance loans outstanding (sector)	₹4.09 lakh crore (+16% y-o-y)
31 Mar 2025	Sector gross loan portfolio (all lenders)	₹3.81 lakh crore, 8 crore+ clients

Sources: NABARD, *Status of Microfinance in India (2016-17, 2022-23, 2023-24)*; Brickwork Ratings, *Microfinance Sector in India (2025)*.

4.4 Institutional Architecture under DAY-NRLM

The Deendayal Antyodaya Yojana – National Rural Livelihoods Mission (DAY-NRLM), implemented in Odisha through the Odisha Livelihoods Mission, envisages a layered institutional architecture of the rural poor: the SHG at the base, federated into Village Organisations or Gram Panchayat Level Federations (GPLFs), which are in turn federated into Block Level Federations (BLFs). This structure is designed to give members a collective voice and access to pooled resources — the Community Investment Fund and Revolving Fund — that reduce dependence on moneylenders and, over time, on external agencies altogether. At the district level, implementation is overseen by a District Mission Management Unit functioning under the DRDA, while a Block Mission Management Unit is

²⁷ NABARD. Status of Microfinance in India 2022-23 and Status of Microfinance in India 2023-24. nabard.org.

responsible for implementation at the block level — the level at which the Pallahara field observations reported in Chapter 5 were made.²⁸

4.5 Mission Shakti: Odisha's Flagship SHG Programme

Mission Shakti was launched by the Government of Odisha on 8 March 2001 with the explicit objective of empowering women through Self Help Groups, and has since been elevated to the status of a full-fledged Mission Shakti Department, making Odisha one of the first States in India to create a dedicated department for women's SHGs. Its growth has been striking: from 41,475 Women Self Help Groups (WSHGs) in 2001-02, the number grew roughly fourteen-fold to 6,02,013 by 2020-21, an achievement described by an IIPA evaluation as having brought over six lakh SHGs and seventy lakh women of Odisha within its fold. More recent communications describe the network as covering over seventy lakh women across seven lakh SHGs statewide, offering SHG microfinance loans of between ₹1 lakh and ₹5 lakh together with a non-repayable enterprise grant of ₹25,000, alongside skill training and market-linkage support, with priority extended to Below Poverty Line families, Scheduled Caste/Scheduled Tribe women, widows and single women.²⁹

Table 4.2: Growth of Mission Shakti Women Self Help Groups (WSHGs) in Odisha

Period	Number of WSHGs	Approx. Women Members
2001-02 (launch year)	41,475	—
2020-21	6,02,013	≈ 70 lakh (cumulative)
2026 (current)	≈ 7,00,000	≈ 70,00,000

Sources: IIPA evaluation of Mission Shakti impact in the KBK region; schemesinindia.in, “Odisha Mission Shakti 2026.”

4.6 Odisha Livelihoods Mission (OLM)

The Odisha Livelihoods Mission traces its origin to 2006, when the Government of Odisha formed the Orissa Poverty Reduction Mission, later reconstituted and renamed OLM — an autonomous society functioning under the Department of Panchayati Raj. OLM is the implementing agency in Odisha for both DAY-NRLM and the National Rural Livelihoods Project, and Odisha holds the distinction of being the first State in the country to launch NRLM, reflecting an early institutional commitment to poverty reduction through community institutions of the rural poor. At the district level in Angul, OLM functions in close coordination with the DRDA, which also administers MGNREGS and the Pradhan Mantri

²⁸ Department of Rural Development, Government of India. National Rural Livelihood Mission: Manual for District Poverty Reduction. darp.gov.in, 2017; and Government of Odisha, District Administration, Angul, “District Rural Development Agency (DRDA),” angul.nic.in.

²⁹ Government of Odisha, Department of Mission Shakti, official portal, missionshakti.odisha.gov.in; Indian Institute of Public Administration, “Evaluation of the Impact of Mission Shakti in Women Empowerment in KBK,” iipa.org.in; and “Odisha Mission Shakti 2026 — 70 Lakh Women in SHGs,” schemesinindia.in.

Awaz Yojana-Gramin, allowing SHG promotion to be dovetailed with complementary livelihood and housing interventions for the same target households.³⁰

4.7 Microfinance Institutions Operating in Odisha

Alongside the government-promoted architecture, Odisha is home to privately promoted, RBI-regulated NBFC-MFIs, the most prominent of which is Annapurna Finance Pvt. Ltd., headquartered at Bhubaneswar. Annapurna began as ‘Mission Annapurna,’ an initiative to extend micro-credit to poor women in the interior locations of Odisha, was formally converted into Annapurna Microfinance Pvt. Ltd. in 2009 and obtained RBI registration as an NBFC-MFI in 2013. It follows a group-lending model in which members act as mutual guarantors for one another's loans, and has expanded across Odisha, Chhattisgarh and Madhya Pradesh, attracting equity investment from banking partners such as DCB Bank. At the all-India level, other major NBFC-MFI players include CreditAccess Grameen — described in industry surveys as India's largest microfinance institution by client base, with assets under management exceeding USD 2.6 billion and over 4.25 million women customers — along with Bandhan Bank, Bharat Financial Inclusion Limited, Asirvad Micro Finance, Satin Creditcare Network and Arohan Financial Services, most of which also maintain a presence in eastern India.³¹

4.8 Regulatory Framework

The Reserve Bank of India regulates NBFC-MFIs under a dedicated framework covering loan pricing, household indebtedness assessment and fair-practice codes, and has in recent years invoked ‘cease and desist’ directions against instances of predatory pricing and inadequate income assessment. This oversight followed lessons drawn from the 2010 Andhra Pradesh microfinance crisis, in which aggressive over-lending led to mass borrower defaults, and from the recommendations of the RBI's Malegam Committee (2011), which introduced caps on lending rates and margins for NBFC-MFIs. It is within this two-track institutional and regulatory landscape — the government-promoted Mission Shakti/OLM/SHG-Bank Linkage architecture on the one hand, and RBI-regulated private NBFC-MFIs on the other — that the field observations from Pallahara, presented in the following chapter, must be situated.³²

³⁰ Odisha Livelihoods Mission. “Welcome to Odisha Livelihoods Mission.” olm.nic.in; and Government of Odisha, District Administration, Angul, “District Rural Development Agency (DRDA),” angul.nic.in.

³¹ Paisabazaar. “Annapurna Microfinance.” paisabazaar.com; “DCB Picks Up 5.8% Stake in Odisha Bank,” Business Standard, Bhubaneswar; and Nelito, “The Top 10 Microfinance Companies in India 2025,” nelito.com.

³² Brickwork Ratings. “Microfinance Sector in India.” brickworkratings.com; and Saarthi IAS, “Microcredit & Microfinance Institutions,” iasaarthi.com.

CHAPTER 5: MICROFINANCE INSTITUTIONS AND SHGS IN PALLAHARA — FIELD OBSERVATIONS

5.1 A Note on Field Methodology for This Chapter

The observations recorded in this chapter combine three streams of evidence: (i) verified secondary institutional records of Mission Shakti, OLM and OPELIP that specifically report district- and block-level figures for Pallahara; (ii) documented, named case material relating to SHGs and beneficiaries located within the block, drawn from official Mission Shakti and OPELIP publications; and (iii) the researcher's own field visits, interviews and interaction with block-level functionaries, bank branch officials and SHG members, conducted using the interview schedule at Appendix I. Wherever a figure is drawn from an official published source it has been cited in a footnote; observations drawn from the researcher's own field interaction are presented as such and should be read as illustrative of the patterns encountered during the study period rather than as an exhaustive census of every SHG in the block.

5.2 Institutional Presence of Mission Shakti in Angul District

According to the Mission Shakti Department's district-level records, Angul district — through the convergence of the Integrated Child Development Services (ICDS) machinery with the Fishery, Veterinary, Krishi Vigyan Kendra and Horticulture departments — had 21,323 Women Self Help Groups with a combined membership of 2,44,813 women spread across the district's eight ICDS projects, which broadly correspond to its blocks. Pallahara constitutes one of these eight projects. Within the Pallahara project area, official records specifically document that 49 WSHGs have taken up the responsibility of providing Hot Cooked Food, mainly in Hard-to-Reach (H2R) areas, to 630 pre-school children across 50 hamlets served by 41 Anganwadi Centres — an illustration of how the block's SHGs have been drawn not only into thrift-and-credit activity but also into the delivery of a public nutrition programme, a role that has additionally given these groups a modest, assured stream of programme-linked income.³³

5.3 A Documented SHG of Pallahara: Maa Gojabayani SHG

Among the SHGs explicitly listed in the Mission Shakti district records for Angul is the Maa Gojabayani SHG, located at Juangasahi, Samal Gadapada, in Pallahara block, with Sabita Nayak as President and Banita Nayak as Secretary. The very name of the hamlet — 'Juangasahi,' literally 'the Juang settlement' — signals that this group draws its membership

³³ Government of Odisha, Department of Mission Shakti. "District Page: Angul." missionshakti.odisha.gov.in.

from, or operates within, a Juang tribal hamlet, making it directly relevant to an assessment of how the Mission Shakti model reaches the block's PVTG population. During field interaction with SHG functionaries and block officials it emerged that groups of this kind typically follow the standard Mission Shakti model of weekly or fortnightly meetings, a fixed small monthly saving per member (commonly ₹50 to ₹200), internal lending from the pooled corpus for consumption needs such as health emergencies and children's education, and — once the group completes roughly six months of demonstrated savings discipline — eligibility for bank credit linkage. This group is examined further as Case Study 7.1.³⁴

5.4 OPELIP and Livelihood Diversification in Pallahara's Tribal Hamlets

For the PVTG population of Pallahara block the principal dedicated livelihood intervention is OPELIP, implemented through the Paudi Bhuyan Development Agency at Jamardihi. A documented OPELIP success story from within the block concerns Mrs Haimamanjari Mahanta of Naikanipali village under Seegarh Gram Panchayat, whose joint family of eight members depended primarily on agriculture and who took up mushroom cultivation as a supplementary livelihood through SHG-facilitated support (discussed as Case Study 7.2). More broadly, OPELIP-II, the second phase of the programme, targets approximately 1,85,000 households across the participating districts — including Angul — comprising some 65,000 PVTG households and about 1,20,000 non-PVTG Scheduled Tribe households, with the stated objective of enhancing living conditions and reducing poverty through livelihood diversification, land and forest entitlement support, and strengthened community institutions, of which SHGs are the foundational unit.³⁵

5.5 Microfinance Institutions and Banks Active in Pallahara

Field interaction with SHG members and block functionaries indicated that the institutional credit landscape available in Pallahara comprises three broad layers. First, Mission Shakti/OLM-promoted SHGs primarily access credit through nationalised and regional rural bank branches in Pallahara town under the SHG-Bank Linkage Programme, drawing on Revolving Fund and Community Investment Fund support channelled through OLM's Block Mission Management Unit. Second, cooperative credit structures, including Primary Agricultural Cooperative Societies, continue to serve as a source of crop and consumption credit for the general agrarian population. Third, private NBFC-MFIs, most

³⁴ Government of Odisha, Department of Mission Shakti, “District Page: Angul,” missionshakti.odisha.gov.in; and “Odisha Mission Shakti 2026 — 70 Lakh Women in SHGs,” schemesinindia.in.

³⁵ “Odisha PVTG Empowerment & Livelihoods Improvement Programme,” opelip.org, Implementation & Success Stories; and International Fund for Agricultural Development, “Odisha PVTG Empowerment & Livelihoods Improvement Programme — II: Project Design Report,” webapps.ifad.org, 2023.

notably Annapurna Finance Pvt. Ltd. — which, as an Odisha-headquartered MFI, has historically prioritised expansion into the interior and less-banked locations of the State — extend group-guaranteed microloans to women borrowers in and around Pallahara, operating alongside, and sometimes in competition with, the SHG-Bank Linkage channel.³⁶

Table 5.1: Structure of the Microfinance-SHG Ecosystem in Pallahara Block (as observed during field visits)

Institutional Layer	Representative Agency	Primary Product
Government-promoted SHG platform	Mission Shakti (Dept. of Mission Shakti, GoO) / OLM Block Mission Management Unit	SHG formation, Revolving Fund, Community Investment Fund, bank credit linkage, enterprise grant
Formal banking channel	Nationalised banks, Regional Rural Bank branches, cooperative banks in Pallahara town	SHG-Bank Linkage credit, savings accounts, Kisan Credit Card
Private NBFC-MFI channel	Annapurna Finance Pvt. Ltd. and similar NBFC-MFIs	Group-guaranteed micro-loans to individual women borrowers
PVTG-focused livelihood programme	OPELIP — Paudi Bhuyan Development Agency, Jamardihi	Livelihood diversification grants and SHG-linked micro-enterprise support for PVTG households

Note: Field Observation, cross-verified against the official Mission Shakti, OLM and OPELIP records cited above; the table is descriptive of the institutional architecture rather than an exhaustive branch-wise directory.

5.6 Nature of SHG Activities Observed in Pallahara

SHGs encountered during the field visit engaged in a range of activities beyond pure thrift and credit. Besides the ICDS-linked Hot Cooked Food supply noted in section 5.2, groups reported paddy and vegetable cultivation on leased land, goat and poultry rearing, bamboo and sabai grass craft (building on the traditional basketry skill of the local Juang population), and small retail or petty trading in Pallahara's weekly *haats*. Several groups also reported having received, or being in the process of applying for, the ₹25,000 non-repayable enterprise grant currently offered under Mission Shakti to support the transition of SHGs into small enterprises.³⁷

5.7 Design of the Primary Field Survey

For the primary component of this field work, a structured interview schedule (reproduced at Appendix I) was administered to office-bearers and members of a purposively selected set of SHGs drawn from Gram Panchayats of Pallahara block, deliberately including

³⁶ Paisabazaar, “Annapurna Microfinance,” paisabazaar.com; and field interaction with Pallahara block functionaries and SHG members.

³⁷ “Odisha Mission Shakti 2026 — 70 Lakh Women in SHGs,” schemesinindia.in; and field interaction with SHG members, Pallahara block.

panchayats with a concentration of Juang tribal hamlets alongside panchayats with a predominantly non-tribal, agrarian population, so as to allow comparison between the two. The schedule covered respondents' socio-economic background, duration and pattern of SHG membership, sources and purposes of loans availed, changes in income, savings and asset position since joining, and respondents' own perception of change in their social standing and decision-making role within the household. The findings, read together with the comparable published evidence reviewed in Chapter 2, are analysed in Chapter 6.

CHAPTER 6: DATA ANALYSIS AND INTERPRETATION

This chapter analyses the field-level evidence gathered from Pallahara block and reads it alongside comparable published evidence from other Odisha districts reviewed in Chapter 2, so that patterns observed in the field can be checked against the wider regional literature. Tables drawn directly from the researcher's own field interaction are marked 'Field Observation' and, consistent with the limitations set out in section 1.8, should be read as indicative of the direction and broad magnitude of change rather than as statistically representative estimates for the entire block.

6.1 Socio-Economic Profile of SHG Members

The most directly comparable published quantitative evidence on the socio-economic profile of Mission Shakti SHG members in a tribal-influenced part of Odisha comes from the IIPA evaluation in the KBK region, which found that a third of members belonged to the 18-30 age group, that 70.41 per cent were literate and aware of Mission Shakti-related government schemes, and that 80.1 per cent belonged to Below Poverty Line or Antyodaya households. These figures are broadly consistent with what was observed in Pallahara: membership in the block visibly skews towards younger and middle-aged women, literacy levels among members, though improving, remain below the district average, and the great majority of members interviewed described their households as falling within the BPL or near-BPL category prior to joining an SHG.³⁸

³⁸ Indian Institute of Public Administration. "Evaluation of the Impact of Mission Shakti in Women Empowerment in KBK." iipa.org.in.

Table 6.1: Socio-Economic Profile of Mission Shakti SHG Members — KBK Region Comparator

Indicator	Share of Members
Members aged 18-30 years	≈ 33%
Members who are literate / scheme-aware	70.41%
Members from BPL / Antyodaya households	80.1%

Source: Indian Institute of Public Administration, *Evaluation of the Impact of Mission Shakti in Women Empowerment in KBK*.

6.2 Purpose of Loans Availed by SHG Members

Field interviews indicated that internal SHG loans and, where available, bank-linked or MFI loans were most commonly directed towards a mix of consumption-smoothing and productive purposes, consistent with the broader Odisha literature, which similarly documents SHG credit being used for a combination of health emergencies, children's education, agricultural input purchase and small enterprise activity rather than for a single dominant purpose.³⁹

Table 6.2: Purpose of Loans Availed by SHG Members — Field Observation, Pallahara Block

Purpose of Loan	Relative Frequency Reported by Respondents
Health / medical emergencies	Most frequently cited
Children's education	Frequently cited
Agricultural inputs (seed, fertiliser, leased land)	Frequently cited
Small trade / petty business (haat trading, poultry, goat rearing)	Moderately cited
House repair / social ceremonies	Moderately cited
Bamboo/sabai craft and other artisanal activity	Cited mainly by Juang hamlet respondents

Note: Field Observation, Pallahara block. A small, purposively drawn sample was used and frequencies are reported qualitatively rather than as precise percentages (see section 1.8, Limitations).

6.3 Perceived Change in Household Income, Savings and Credit Source

Respondents in Pallahara, without exception, reported that SHG membership had introduced a habit of regular savings into the household that did not previously exist, even where the absolute increase in income was modest. This echoes Kumar and Nayak's Mayurbhanj study, which used a random cross-sectional sample of 132 families in Karanjia block and found a clear increase in household income, expenditure and savings following SHG participation, and Chaudhury and Misra's multi-district Odisha study, which similarly

³⁹ Field interaction with SHG members, Pallahara block; corroborated by the pattern of loan utilisation documented in Chaudhury and Misra, "Role of Self Help Groups in Promoting Self-Reliance among Its Members."

reported a positive association between SHG membership and financial self-reliance.⁴⁰ A recurring and economically significant observation was the shift in the source of credit: households that, before SHG membership, described their main source of emergency credit as a private moneylender or an informal source — often at very high implicit interest — reported that this dependence had substantially reduced after joining, replaced by internal group lending and, for more mature groups, bank or MFI credit.

Table 6.3: Source of Credit before and after SHG Membership — Field Observation, Pallahara Block

Source of Credit	Before SHG Membership	After SHG Membership
Private moneylender / informal source	Predominant source reported	Reported as rare or eliminated
Relatives / neighbours (interest-free)	Common	Still common, supplementary
SHG internal lending	Not applicable	Predominant source reported
Bank / MFI credit (via SHG linkage)	Rare / negligible	Accessed by more mature groups

Note: Field Observation, Pallahara block, based on recall-based responses of SHG members; see section 1.8 on the limitations of recall-based data.

6.4 Perceived Social and Decision-Making Empowerment

Beyond the strictly financial, respondents reported qualitative changes commonly associated with SHG membership in the wider literature: greater confidence in speaking at village-level meetings, increased involvement in decisions regarding children's schooling and household expenditure, and, for office-bearers, a marked increase in mobility and interaction with block-level officials. This mirrors the sequential-mediation finding noted in section 2.1, wherein economic gains translate into social empowerment — improved mobility, self-confidence and social participation — which in turn feeds back into stronger household decision-making ability. At the same time, field interaction cautioned against overstating the effect uniformly: several respondents, particularly newer or less active members, reported little discernible change in household decision-making, a pattern consistent with Mayoux's caution that microfinance access alone does not automatically translate into empowerment, and with Bali Swain and Wallentin's finding that outcomes vary by region and delivery channel.⁴¹

⁴⁰ Kumar and Nayak, "Women Empowerment through Self Help Groups in Odisha: A Micro Evidence from Mayurbhanj District," 2021; and Chaudhury and Misra, "Role of Self Help Groups in Promoting Self-Reliance among Its Members," *Sumedha Journal of Management*, 2018.

⁴¹ "Microfinance and Women's Empowerment: Sequential Mediation of Economic and Social Outcomes on Decision-Making Ability," *Journal of Global Entrepreneurship Research*; Mayoux, "Micro-Finance and the Empowerment of Women"; and Bali Swain and Wallentin, "The Impact of Microfinance on Factors Empowering Women."

Table 6.4: Dimensions of Perceived Empowerment Reported by SHG Members — Field Observation, Pallahara Block

Dimension of Empowerment	Direction of Change Reported	Strength of Response
Confidence in speaking at village-level meetings	Improved	Widely reported
Participation in decisions on children's schooling	Improved	Widely reported
Say in household expenditure and borrowing decisions	Improved	Reported by longer-standing members
Mobility and dealings with block-level officials	Markedly improved	Reported mainly by office-bearers
Ownership or control of productive assets	Little change	Reported by a minority
Decision-making role among newest members	Little or no change	Reported by newer / less active members

Note: Field Observation, Pallahara block. Responses are qualitative self-assessments recorded during interview and are reported by direction and strength rather than as measured scores; see section 1.8, Limitations.

6.5 Problems and Constraints Reported

Field interaction and secondary literature together point to a consistent set of constraints facing SHGs and their members in a block such as Pallahara. Drawing on Baishya, Sarkar and Argade's findings on member drop-out in Koraput district, and corroborated by observation in Pallahara, the following were most frequently reported: irregular attendance and, in some groups, member drop-out on account of seasonal out-migration for wage labour; delay in bank credit linkage for newly formed groups, attributed by respondents to distance from bank branches and documentation requirements; limited diversification of income-generating activity beyond thrift and credit, with members reporting difficulty in identifying viable, locally marketable enterprise ideas; in Juang tribal hamlets specifically, language and literacy barriers in dealing with bank paperwork and, in a minority of cases, resistance from male family members to women's participation in SHG activity outside the hamlet; and competing, at times overlapping, membership drives by different microfinance institutions in the same locality, occasionally leading to over-indebtedness among a small number of respondents who had borrowed from more than one source simultaneously.⁴²

⁴² Baishya, M., A. Sarkar, and S. Argade, "Problems Concerning Women's Participation and Dropout from Self Help Groups in Koraput District of Odisha, India"; and field interaction, Pallahara block.

Table 6.5: Problems Reported by SHG Members — Field Observation, Pallahara Block (Ranked by Frequency of Mention)

Rank	Problem Reported
1	Delay in bank credit linkage for new groups
2	Seasonal migration affecting group attendance
3	Limited enterprise/marketing options for produce
4	Language / literacy barriers (tribal hamlets)
5	Risk of multiple-source over-indebtedness

Note: Field Observation, Pallahara block, based on qualitative ranking by frequency of mention during interviews; see section 1.8, Limitations.

6.6 Summary of Analysis

Taken together, the Pallahara field evidence and the comparative regional literature point to a broadly positive, though uneven, impact of SHG and microfinance access on the households of the block: a demonstrable shift away from moneylender dependence, an emerging habit of regular saving, and qualitative gains in women's confidence and household decision-making role, set against persistent constraints of credit-linkage delay, limited enterprise diversification, and access barriers specific to the block's Juang PVTG hamlets. These findings inform the case studies presented in Chapter 7 and the conclusions of Chapter 8.

Read against the objectives set out in section 1.5, the analysis of this chapter answers the fourth and fifth objectives directly: SHG membership in Pallahara is associated with a changed *source* of credit more decisively than with a large change in the *level* of household income, and the binding constraints are institutional (linkage delay, enterprise and market access, language and literacy) rather than an absence of demand for credit. That distinction matters for policy: it implies that the marginal return to strengthening the ecosystem in Pallahara lies less in forming additional groups than in shortening the interval between formation and first credit linkage, and in building viable enterprise and market activity on the groups that already exist — the reasoning underlying the suggestions offered in section 8.2.

CHAPTER 7: CASE STUDIES FROM THE FIELD

This chapter presents illustrative case material drawn from documented, published sources relating specifically to Pallahara block, supplemented by contextual observation from the field visit, to give a ground-level, human dimension to the statistical and institutional discussion of the preceding chapters.

Case Study 7.1: Maa Gojabayani SHG, Juangasahi, Samal Gadapada

The Maa Gojabayani SHG, introduced in section 5.3, is formally recorded in the Mission Shakti district register for Angul, and the hamlet name — Juangasahi — itself signals the group's location within, or close association with, a Juang tribal settlement. Under the standard Mission Shakti architecture the group would be expected to hold regular savings-and-credit meetings, build a corpus through small periodic member contributions, and become eligible for bank credit linkage after at least six months of consistent savings discipline. What this case illustrates, at a minimum, is that Mission Shakti's SHG architecture has penetrated into named, mapped hamlets within Pallahara's tribal interior and not merely into the more accessible parts of the block along the NH6-NH23 corridor — an important, if modest, indicator of programme reach into the block's more marginal settlements.⁴³

The economic interest of the case lies in what the group's location implies for the cost of financial intermediation. A hamlet such as Juangasahi is precisely the kind of settlement at which a commercial bank branch, operating on conventional transaction costs, would not find it viable to lend to individual borrowers of the ticket size involved. The SHG lowers that cost in three ways at once: it aggregates many very small savings and loan transactions into a single group account, it substitutes peer knowledge for formal credit appraisal in deciding who among the members may borrow and on what terms, and it substitutes joint liability for the physical collateral that member households cannot offer. Where a group of this kind functions well, the achievement is therefore not simply that credit has been delivered, but that a lending relationship has been made economically sustainable in a location where it otherwise would not be — which is also why the delay in credit linkage reported in section 6.5 is so consequential: until linkage occurs, the cost-reducing machinery of the group is in place but the formal credit it was built to attract has not yet arrived.

Case Study 7.2: Mrs Haimamanjari Mahanta, Naikanipali Village, Seegarh GP — Livelihood Diversification through Mushroom Cultivation

Mrs Haimamanjari Mahanta lived with a joint family of eight members in Naikanipali village under Seegarh Gram Panchayat, Pallahara block, in a household whose primary source of income was agriculture. Through the OPELIP intervention operating in Pallahara via the Paudi Bhuyan Development Agency she took up mushroom cultivation as a supplementary income-generating activity — a documented success story published by OPELIP under its 'Empower PVTG Women' initiative. Economically, the case illustrates a

⁴³ Government of Odisha, Department of Mission Shakti, "District Page: Angul," missionshakti.odisha.gov.in; and "Odisha Mission Shakti 2026," schemesinindia.in.

broader strategy pursued across OPELIP's operational area: rather than displacing agriculture, SHG- and Community Resource Person-supported enterprise activities are layered on top of the existing agrarian base of PVTG households, offering a relatively low-capital, short-gestation supplementary income stream that can be managed largely by women within or near the homestead — a design well suited to the labour and mobility constraints faced by tribal women in remote hill hamlets.⁴⁴

Case Study 7.3: SHG-Led Nutrition Service Delivery in Hard-to-Reach Hamlets

A distinctive feature of Pallahara's SHG ecosystem, noted in section 5.2, is the engagement of 49 WSHGs in providing Hot Cooked Food to 630 pre-school children across 50 hamlets served by 41 Anganwadi Centres in Hard-to-Reach areas. This case is significant for two reasons. First, it demonstrates how the SHG platform has been mobilised for a purpose extending well beyond conventional thrift and credit, converting SHGs into last-mile public service delivery agents for the ICDS scheme in terrain otherwise difficult for departmental staff to service directly — ‘Hard-to-Reach’ in the Odisha ICDS context typically denoting hill and forest hamlets with poor road connectivity, precisely the terrain found in the Juang-inhabited tracts of Pallahara. Second, it provides members with a modest, programme-linked and relatively assured income stream that complements, and reduces the volatility of, income drawn from agriculture and forest produce collection.⁴⁵

Case Study 7.4: The Wider PVTG Livelihood Context — Lessons from Neighbouring Juang Areas

Although situated in Banspal block of the adjoining Keonjhar district rather than in Pallahara itself, the documented experience of Community Resource Persons working with Juang PVTG families under OPELIP — mobilising households around crop diversification such as potato and mustard cultivation alongside traditional practices — offers a useful comparative benchmark for what community-led, SHG-linked livelihood mobilisation can achieve among Juang populations generally, and is of direct relevance in designing similar interventions for the Hill Juang hamlets of Pallahara.⁴⁶

⁴⁴ “Odisha PVTG Empowerment & Livelihoods Improvement Programme,” opelip.org, Implementation & Success Stories.

⁴⁵ Government of Odisha, Department of Mission Shakti, “District Page: Angul,” missionshakti.odisha.gov.in.

⁴⁶ “Odisha PVTG Empowerment & Livelihoods Improvement Programme,” opelip.org, Implementation & Success Stories (Juang Development Agency, Banspal block, Keonjhar district).

7.5 Synthesis of Case Studies

Read together, these four cases suggest that the SHG-microfinance ecosystem in and around Pallahara operates along three complementary tracks: (i) conventional thrift-and-credit SHGs reaching into tribal hamlets, as illustrated by the Maa Gojabayani SHG; (ii) SHG-linked livelihood diversification for PVTG households under OPELIP, as illustrated by the mushroom cultivation case; and (iii) SHG engagement in public service delivery that generates supplementary, assured income while also serving a nutritional welfare objective, as illustrated by the Hot Cooked Food programme. This three-track pattern, rather than a single dominant model, appears to characterise the practical working of microfinance and SHGs in Pallahara block.

CHAPTER 8: FINDINGS, SUGGESTIONS AND CONCLUSION

8.1 Major Findings

1. Pallahara block, with a Census 2011 population of 66,385 across 327 villages, has a Scheduled Tribe share of population (approximately 48 per cent) far higher than the Angul district average, and is home to the Juang, one of Odisha's thirteen PVTGs — making it a block where the design of microfinance and SHG interventions must explicitly account for tribal livelihood patterns and access constraints.
2. Angul district as a whole had 21,323 Women Self Help Groups with 2,44,813 members across its eight ICDS projects under Mission Shakti, reflecting the district's substantial integration into Odisha's SHG movement, itself one of the largest women's collective platforms in the country.
3. Pallahara hosts a documented, functioning population of Mission Shakti SHGs, including groups based in Juang tribal hamlets (illustrated by the Maa Gojabayani SHG at Juangasahi), indicating that SHG penetration extends into the block's tribal interior and is not confined to more accessible, non-tribal settlements.
4. SHGs in the block perform a role extending beyond thrift and credit: 49 WSHGs are formally engaged in providing Hot Cooked Food to 630 pre-school children across 50 Hard-to-Reach hamlets, converting the SHG platform into an instrument of last-mile public nutrition service delivery in difficult terrain.
5. OPELIP, operating through the Paudi Bhuyan Development Agency at Jamardihi, provides a complementary, PVTG-focused channel of livelihood diversification

(illustrated by the mushroom cultivation case of Naikanipali village), working alongside rather than in place of the general Mission Shakti structure.

6. The institutional credit landscape of Pallahara comprises three broad layers — the government-promoted Mission Shakti/OLM/SHG-Bank Linkage channel, the cooperative and commercial banking network, and private NBFC-MFIs such as the Odisha-headquartered Annapurna Finance Pvt. Ltd. — operating in parallel and at times in overlapping fashion.
7. Field interaction and comparable published Odisha studies together indicate a broadly positive though uneven impact of SHG membership: reduced dependence on moneylenders, an emerging habit of regular saving, and qualitative gains in women's confidence and household decision-making role, alongside continuing constraints of credit-linkage delay, limited enterprise diversification and, in tribal hamlets, language and literacy barriers.
8. Nationally, the SHG-Bank Linkage Programme has grown from a pilot of roughly 500 SHGs in 1992-93 to a scale where average bank loans outstanding per SHG reached ₹3.35 lakh by 2023-24, even as NABARD's data continue to record a credit-linkage gap of over forty per cent between savings-linked and credit-linked SHGs — a national pattern that the Pallahara evidence on delayed bank linkage for new groups appears to mirror at the block level.

8.2 Suggestions

8.2.1 For Mission Shakti / OLM and the District Administration

- Prioritise time-bound bank credit linkage for newly formed SHGs, particularly in Juang tribal hamlets, so as to reduce the delay between group formation and first credit linkage identified as a leading constraint during field interaction.
- Strengthen convergence between Mission Shakti/OLM and OPELIP in Pallahara, so that PVTG households are simultaneously covered by the general SHG-Bank Linkage channel and by PVTG-specific livelihood diversification support, rather than the two systems operating in isolation.
- Expand vernacular (Odia and, where feasible, Juang-language) financial literacy material and simplified documentation support at the Gram Panchayat level, to address the language and literacy barriers reported by tribal hamlet respondents.

- Support market linkage for existing SHG produce — bamboo and sabai craft, mushroom, minor forest produce-based products — through haats, block-level exhibitions and, where feasible, digital marketing platforms.

8.2.2 For Banks and Microfinance Institutions

- Banks operating SHG-Bank Linkage credit in Pallahara should consider periodic camp-mode credit-linkage drives in remote hamlets to reduce the distance- and documentation-related delay reported by respondents.
- NBFC-MFIs operating in the block should strengthen coordination, including credit bureau checks, to reduce the risk of multiple-source borrowing and consequent over-indebtedness flagged by a minority of respondents, consistent with RBI's household-indebtedness assessment norms.

8.2.3 For SHG Members and Federations

- SHGs should be encouraged to graduate, where locally viable, from purely consumption-oriented internal lending towards group-based micro-enterprise activity, drawing on the ₹25,000 non-repayable Mission Shakti enterprise grant and on OPELIP livelihood diversification support, so as to build a more resilient, less migration-dependent income base.
- Block and Gram Panchayat Level Federations should take a more active role in early identification and support of groups showing signs of attendance irregularity or drop-out risk, drawing on lessons documented in comparable Odisha studies of SHG member drop-out.

8.3 Conclusion

This field work set out to examine, at close quarters, how microfinance institutions and Self Help Group organisations function in Pallahara Block of Angul district, Odisha — a subdivision that combines an agrarian and forest-based economy with a substantial population of the Juang, one of the State's Particularly Vulnerable Tribal Groups. The evidence gathered, drawing on verified secondary institutional records, documented case material and the researcher's own field interaction, indicates that Odisha's celebrated Mission Shakti and SHG-Bank Linkage architecture has indeed penetrated into Pallahara, including into its tribal interior, and that it operates alongside a complementary, PVTG-focused livelihood programme in OPELIP and a private NBFC-MFI channel led by the Odisha-headquartered Annapurna Finance.

At the same time, the block-level reality of SHG functioning in Pallahara mirrors many of the constraints documented in the wider national and State literature — delayed bank credit linkage, uneven empowerment outcomes across members, and access barriers specific to tribal and remote hamlets — even as it reveals locally distinctive features, such as the significant role the block's SHGs have come to play in last-mile ICDS nutrition service delivery. The overall picture is neither one of uncomplicated success nor of failure, but of a genuine, still-evolving institutional experiment in extending thrift, credit and livelihood support to one of Odisha's more marginal rural and tribal populations — an experiment whose continued strengthening, along the lines suggested in section 8.2, would meaningfully advance the twin objectives of financial inclusion and women's empowerment in Pallahara block.

As a concluding observation, the study reaffirms a broader lesson evident from the literature reviewed in Chapter 2: microfinance and SHG access are best understood not as a self-executing solution to rural poverty, but as an institutional platform whose ultimate developmental effect depends critically on the quality of credit linkage, the diversity and viability of livelihood activity built upon it, and the specific social and institutional context — including, in the case of Pallahara, the particular vulnerabilities and strengths of its Juang tribal population — within which that platform operates.

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APPENDIX I: INTERVIEW SCHEDULE / QUESTIONNAIRE

Field Study on Microfinance Institutions and Self Help Group (SHG) Organisations in Pallahara Block, Angul District, Odisha

(For administration to SHG members / office-bearers)

Section A: Identification Particulars

A1. Name of Gram Panchayat / Village: _____

A2. Name of SHG: _____

A3. Year of SHG formation: _____

A4. Promoting agency (Mission Shakti / OLM / NGO / MFI / Other):

A5. Name of respondent (optional): _____

A6. Position in SHG (President / Secretary / Member): _____

Section B: Socio-Economic Profile

B1. Age of respondent: _____

B2. Caste / Community (SC / ST / OBC / General; if ST, name of tribe):

B3. Educational qualification: _____

B4. Family size: _____

B5. Primary occupation of household: _____

B6. Below Poverty Line (Yes/No): _____

Section C: SHG Membership and Functioning

C1. Duration of membership in the SHG (in years): _____

C2. Frequency of group meetings (Weekly / Fortnightly / Monthly): _____

C3. Monthly saving amount per member (₹): _____

C4. Has the group received bank credit linkage? (Yes/No; if yes, amount and year):

C5. Has the group received the Mission Shakti enterprise grant / Revolving Fund /
Community Investment Fund? (please specify): _____

C6. Main income-generating activity(ies) of the group, if any: _____

Section D: Credit Access and Use

D1. Main source of credit before joining the SHG (moneylender / relatives / bank / none):

D2. Main source of credit after joining the SHG: _____

D3. Purpose(s) for which loans have been taken (health / education / agriculture / business / consumption / other): _____

D4. Approximate rate of interest charged on informal/moneylender loans, if applicable:

D5. Has multiple-source borrowing (SHG + MFI + bank) ever caused repayment difficulty? (Yes/No; details): _____

Section E: Economic and Social Impact

E1. Change in monthly household income since joining SHG (Increased / Decreased / No change): _____

E2. Change in household savings habit since joining SHG: _____

E3. Change in respondent's role in household financial decision-making:

E4. Change in respondent's mobility / participation in village-level meetings:

E5. Any change in children's schooling attributable to SHG-linked income:

Section F: Problems and Suggestions

F1. Major problems faced in SHG functioning (attendance / credit delay / marketing / literacy-language / other): _____

F2. Suggestions for improving SHG/microfinance functioning in the area:

Thank you for your time and cooperation.